DCU DCUBS

MG101 Group Assignment Submission Cover Sheet

FAO: Ms. Anita Wade

Assignment Title:	**Marketing PESTLE ANALYSIS**	
Assigned Group Number:	**26**	
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Date Submitted:	**7th of March 2023**	
Final Word Count:	**1,770**	
Total Number of Pages:	**10**	

Declaration

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This assignment, or any part of it, has not been previously submitted by me or any other person for assessment on this or any other course of study. I have read and understood the referencing guidelines found at http://www.library.dcu.ie/citing&refguide08.pdf and/or recommended in the assignment guidelines.

I understand that I may be required to discuss with the module lecturer/s the contents of this submission.

I/me/my incorporate(s) we/us/our in the case of group work, which is signed by all of us.

Signed: Martinas Jucys Brady

Kathryn Daly

Lucie Dunne

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Daragh Ferguson

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MG101 Group Assignment - Report for Benbulben Craft Beers (BCB)

Introduction

This report contains a completed and in-depth PESTLE analysis on “Benbulben Craft Beers” (BCB), a Sligo-based micro-brewery company, who are currently operating exclusively in the Irish market. Opportunities and threats faced by BCB are evaluated and provide a comprehensive understanding of the macro environment within the craft beer industry which in turn affect the future that BCB has in this sector. Marketing strategies for this company are also recommended.

Political

There are various political factors which hugely affect the prosperity of BCB in Ireland. Alcohol, although it still remains hugely popular amongst particularly younger generations, the government in Ireland continues to discourage the consumption of alcohol, as well as the introduction of stricter drunk driving laws. This is obviously a threat to BCB as they may find it difficult to advertise in the market. In 2012 the Irish government introduced a ban on alcoholic drink companies' sponsorship of sports teams (Irish, G. (2018). These laws were only further backed up by the proposal and the implementation of the public health alcohol bill, passed in 2018, which not only sets limits on advertising but also sets the minimum pricing unit, the minimum amount a company has to charge for alcohol (Lesch, M. and McCambridge, J. (2022) . The main threat however to BCB expansion into the Irish market is the ever-increasing excise duty being charged on alcoholic products not just in Ireland but across the European Union. With it being €22.55 for beer at the moment for every hectolitre. (Revenue (2023). These higher taxes coupled with the minimum pricing unit continue to discourage consumers from consumption and along with wider knowledge and awareness of health risks alcohol consumption has decreased although remaining high amongst its world counterparts (Lesch, M. and McCambridge, J. (2021).

Although these are factors Belbulben must consider, the latter is an advantage for BCB who may see fruitful business from Ireland's ever growing drinking culture. The COVID-19

pandemic has also rejuvenated the industry with the growing popularity of beer gardens and various other renovations undertaken by pubs during the pandemic, Benbulben will benefit from this hugely and should target advertising as such. The product has a USP and a niche as a craft beer with enthusiasts of this type of beer particularly interested in sampling products. This may be another marketing strategy that could be introduced by BCB, providing samples to the Irish public along with sharp and effective advertising should ensure that the Irish public remembers the brand name and the product.

Economical

There are various factors which BCB will have to take into consideration. No more so than the viability and profitability of entering into a hugely saturated market which is the alcohol industry, particularly in Ireland (Checkout, P. (2022)). In the rise in popularity we continue to see the same alcohol brands and products as popular as ever, such as Guinness, Heineken, Bulmers etc. These companies have already hiked their prices up hugely in recent times to match the higher cost of living in Ireland recently, most notably Heinken and with the introduction of minimum pricing units in 2018 under alcohol policy. (Barry, J. and Lyne, J. (2023). However, even with a rise in price, the drinks remain as popular as ever with consumers still purchasing their products, At the moment the alcohol industry in Ireland is at risk of developing a monopoly economy which would allow companies such as Heineken to price gouge customers forcing them to pay extortionate amounts for the products (O'Donovan, D. (2023).This is where BCB may profit from though, consumers may now be on the lookout for other alternatives which still provide them with a great-tasting refreshing drink but at a lower price.

These price hikes have provided a gap in the market and forced consumers to re-evaluate their choices and look further into the market and see if there’s other alternatives than the current product they're consuming and weighing up the pros and cons. This is the optimum time for Benbulben to enter the Irish beer market with companies such as Brewdog experiencing huge popularity for their innovative ideas and brewing methods (Brewdog, U.K. (2023)). Economically this is a perfect opportunity for BCB to enter the market and try and exploit an area of the hugely competitive market with their Unique selling point and niche product features.

Sociocultural

The sociocultural forces in the external, macro marketing environment facing BCB pose several threats and opportunities for the Sligo-based micro-brewery.

In recent years there has been a significant change in social attitudes, posing both an opportunity and a threat for BCB. Many reports have been published outlining the adverse side effects of alcohol consumption and linking it to many illnesses and diseases, and consumers are becoming more aware of the neuropsychological consequences of alcoholism (Oscar-Berman et al., 1997). The beverage industry is growing exponentially (*Ireland*, n.d.) with many new companies joining the market and many existing companies expanding their range. Consumers have many options within the market, threatening sales for BCB. These butterfly consumers have little brand loyalty and tend to shop around.

Although the market is busy, new demographics also emerge, which creates opportunities for additional diverse product offerings and marketing strategies. Health-conscious consumers have created a new target market. This creates an opportunity for the company to launch new products, such as low-calorie beers or non-alcoholic alternatives, as it's becoming more socially acceptable to consume alcohol in moderation or opt for non-alcoholic options (Clarke et al., n.d.). As well as this, society has normalised the at-home drinking demographic (Nicholls & Conroy, 2021), so Belbulben could investigate the option of selling bottled beer or kegs and tap kits to cater for this. In addition, there is an increase in demand for craft and specialty beers as consumers seek new, unique, and flavourful options (Garavaglia & Swinnen, 2017).

Technological

In the Beer Industry, bigger companies often have monopolies over the technology, which makes it hard for smaller companies to compete. Smaller and younger businesses have to find new technologies to use. Artificial Intelligence for example, is being used for customization of alcohol content, flavour and aroma. New products can be created this way, which is

important in order to compete with these long standing and traditional beer brands. Artificial Intelligence has many applications in the industry, it can also be used to understand customer feedback more effectively and give precise instructions on how to change the product. Another opportunity with Artificial Intelligence is to analyse the bestselling beers now and let the algorithm come up with a whole new recipe from scratch based on these bestselling beers ingredients.

The Beer Industry is highly competitive so it is very important for BCB to stand out. One way to do that is to create a brand with sustainable products that people can recognise. Blockchain Technology brings valuable opportunities for that purpose, it can be used to track and verify origins of the ingredients and how it has travelled to the brewery. With Blockchain Technology the ideals of a brand, like environmental protection and fair trade, can easily be marketed and are backed by the technology. It can be communicated as easily as a QR-Code on the bottle. The true value here lies with the not manipulatable data of the Technology, that way data is transparent to all potential customers and marketing lines have much more impact. (Rawat, A., n.d.)

Legal

BCB must take advantage of The Intoxicating Liquor (Breweries and Distilleries) Act, 2018. This law gives craft breweries the opportunity to sell alcohol on their premises. The craft beer market share in Ireland stands at a meagre 3.5% (Binchy et al., 2021), making it a niche market that struggles to break through and challenge the larger beer and cider brand. Selling craft beer on their premises would give Benbulben the opportunity to generate revenue and increase tourism in Co. Sligo.

Ecological

BCB can take inspiration from brands such as Corona in an environmental sense. Corona produced a paper-fibre beer bottle packaging made from barley straw (BNP Media, 2021). This new method uses 90% less water than other traditional methods. BCB can take methods like this on-board to increase their environmental sustainability.

Reverse vending machines (RVMs) can also enable BCB to become an innovator of recycling. RVMs allow customers to recycle their glass bottles and cans in exchange for a small sum, ranging from 10 to 25 cents (Vision S.D., 2007). RVMs have been implemented across Europe for some time now and it has noticeably led to a decrease in litter. This environmental approach from BCB would also significantly increase their appeal towards consumers.

Potential Marketing Strategies

Based on the opportunities and threats identified for BCB there is an array of marketing strategies this company could potentially implement to further grow and ensure success in the future. This marketing analysis is built around the product, price, place, promotion strategies (Schwartz, D.G. 2000).

In respect to political threats faced by BCB, a recommendation that the company should consider is, sourcing their products nationally where possible in order to avoid the continuously increasing import taxes and excise duties faced by the company and beer industry (Revenue 2023). Therefore reducing price in the market which will entice consumers to purchase.

Due to the increasingly competitive market and major brands rising prices, BCB could utilise penetration pricing(Spann, M., Fischer, M. and Tellis, G.J., 2015.), which would involve the company entering the market with a lower price and therefore attracting customers away from leading competitors such as Heineken, allowing themselves to introduce a price increase in the future.

Promotional wise, BCB should be conscious that people are gaining awareness around the effects of alcohol. An opportunity for the company to avail of is to consider retargeting their market towards non-alcoholic drinkers and promoting non-alcoholic alternatives to this market, which will in turn increase their product and market sales.

Rebranding of the product such as a new innovative design is a possible marketing strategy, which has been seen successful in other alcoholic brands, (Todor, R.D., 2014.), that could be implemented by BCB to strategically provide their product with a new image.

Conclusion

After researching and completing this PESTLE analysis of BCB, our report concluded that this company is a member of an increasingly competitive market. The opportunities available within the craft beer industry are not without threats, due to the multiple laws and regulations surrounding alcohol, along with the contrasted political and social perception of the industry. Our research has shown that in order for this company to succeed in the future, it's essential for them to address any possible threats and avail of promising opportunities.

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Diary entries for meetings

Diary entry 1 - Éabha McEnaney

Date - Thursday 16th of February

People present

- Myself
- Lucie
- Martinaz
- Kathryn
- Daragh
- Laurenz

What Happened……

Our group met up for the first time in the library to discuss the upcoming assignment. We introduced ourselves first as our group has never worked with each other before.

In this meeting we then read the criteria and divided out roles to the group evenly and made sure everyone knew what they had to do. We then arranged to meet up the following week having made a start on the project.

Diary entry 2 - Éabha McEneaney

Date -Thursday 23rd of February

People present - all group members

What happened……

This second meeting was a lot shorter than the first as it was just to touch base with the group and discuss anything we were unsure of. We had some research done on each of our topics and compared them as a group also.

Diary entry 3 - Éabha McEneaney

Date - 6th of March

People present - all group members

What happened……

Our group met up for the last time to finish the project by adding an introduction, conclusion and finalised things like referencing and layout.

Diary entries - Martinas Jucys Brady

14/02/2023 –

WhatsApp group chat was made, and we all decided on what date suited for a group meeting.

16/02/2023 –

First group meeting was held, and all group members attended. Everybody decided their roles and we briefly discussed what we should include in each of our pieces.

23/02/2023 –

A second meeting was held, and all group members attended. We went through everybody's roles and discussed any problems that people had faced.

06/03/2023 –

We met for the third time, and all group members attended. We made the introduction together and reviewed the piece.

Diary entries - Lucie Dunne

Date: Thursday, 16th February
Group Members Present: All attended

- We met up for the first time as a group after we made a group chat in order to read and discuss the assignment criteria and decide how we were going to divide up the different roles. We agreed on a second date to have our parts completed for and organised to meet again.

Date: Thursday, 23rd February
Group Members Present: All attended

- During this meeting we all brought our separate pieces of work together to ensure nobody was facing any problems or needed any help. We agreed to have everything finalised within a few days.

Date: Monday, 6th March

Group Members Present: All attended

- We met up for the last time to add an introduction and conclusion and finalise our project as a whole to ensure it was ready to submit.

Diary Entries - Daragh Ferguson

Date: Tuesday 14th February

Whatsapp group chat was created and we all decided on a day to meet together as a group for the first time and outline the roles and responsibilities for the group.

Date: Thursday 16th of February

Group Members attended: All present

We met up for the first time as a group. We introduced ourselves to each other as though we are all in the school of business, some of us were in different courses. We considered the assignment guidelines and decided how to divide up the group work. We agreed that equal workload and responsibilities were paramount to achieving a successful project. We then decided on a second date which all group members would check in with each other and ensure that everything was going smoothly.

Date: Thursday 23rd February

Group Members attended: All present

During the second meeting scheduled for a week later for the first introduction meeting, we combined all our research and separate pieces of information and assured that all team members were fine with the work and the workload. We agreed to meet and have all aspects of the assignment done before our final meeting on the 6th of March and would then finalise the introduction.

Date: Monday 6th March

Group Members attended: All present

We met up for the final time before the submission and created the introduction and finalised all other elements of the assignment. Before final references were added and the assignment was formatted correctly.

Diary Entry 1: Kathryn Daly
Date: 14/02/2023
Events: Éabha created a Whatsapp group chat and added all members of our group. We discussed times and locations that would suit us to meet up and confirmed our first meeting for the 16th of February in the DCU library.

Diary Entry 2: Kathryn Daly
Date: 16/02/2023
Attendees:
Kathryn Daly
Lucie Dunne
Martinas Jucys-Brady
Éabha Mc Eneaney
Daragh Ferguson
Laurenz Heyer
Discussion: Our group met for the first time in the DCU library at 12pm for an hour. We read the assignment brief as a group and discussed how we were going to approach the assignment. We divided out the work and shared ideas on how we should each complete our individual part. We set up a google doc so we could work inclusively on the assignment. We arranged our next meeting for the following week.

Diary Entry 3: Kathryn Daly
Date: 23/02/2023
Attendees:
Kathryn Daly
Lucie Dunne
Martinas Jucys-Brady
Éabha Mc Eneaney

Daragh Ferguson

Laurenz Heyer

Discussion: We met for our second meeting to review the progress we had each made so far. We read through each other's pieces that we had completed at this stage and discussed any challenges we had faced. We resolved any issues that we each had about the assignment and answered any questions. We then arranged our final meeting for Monday the 6th of March.

Diary entries - Kathryn Daly

Diary Entry 4: Kathryn Daly

Date: 6/03/2023

Attendees:

Kathryn Daly

Lucie Dunne

Martinas Jucys-Brady

Éabha Mc Eneaney

Daragh Ferguson

Laurenz Heyer

Discussion: Our group met for the final time. We read through our report as a group and made suggestions on how we could improve it. We cut some pieces out from the report to ensure we met the word count and we organised our references in our bibliography. We collectively completed the introduction and conclusion and then proofread the report for a final time before formatting it for the final time.

Diary Entries: Laurenz Heyer

First Meeting: 16/02/2023 (all members present)

We met up for the first time. As we have never worked together before, we started with introducing ourselves and then started to talk about the assignment. In the first meeting we started out with dividing the work and setting a general tone.

Second Meeting: 23/02/2023 (all members present)

In this meeting we looked at the progress each member made so far. We discussed some specific questions as a group and talked about how to move forward with the assignment. After the second meeting we decided that only one more meeting was necessary.

Third Meeting: 6/03/2023 (all member present)
Everyone had finished their pieces and we looked at each of them and discussed if and where we can improve the writing. We also looked at how the pieces come together to form the final group project, for example formatting the bibliography so all the references would be in the same style. We wrote the introduction and conclusion together and proofread the essay one more time.